

7-4c Currency Hedging versus Not Hedging

Given the unpredictable nature of foreign exchange rates, it seems natural that firms that deal with foreign transactions—both financial and nonfinancial types, both large and small firms—may want to engage in currency hedging. Firms that fail to hedge are at the mercy of the spot market.

Yet, many firms do not bother. Some euro zone exporters simply insist on payment in euro and some Chinese exporters have started to insist on payment in yuan (see In Focus 7.3). Among the largest US firms, only approximately one-third hedge. The standard argument for currency hedging is increased stability of cash flows and earnings. In essence, currency hedging may be regarded as a form of insurance, whose cost may be outweighed by the protection it provides. However, many large firms, such as 3M, John Deere, and ExxonMobil, do not care about such insurance. Managers argue that currency hedging eats into profits. A simple forward contract may cost up to half a percentage point per year of the revenue being hedged. More complicated transactions may cost more. As a result, many firms believe that the ups and downs of various currencies even out in the long run. Some, such as IBM, focus on strategic hedging (geographically dispersing activities) while refraining from currency hedging. Whether such a “no currency hedging” strategy outperforms a currency hedging strategy remains to be seen.